Crucible Education Centre
Economics
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- *Step 1: Identify the question requirement*
  - "Market" = Pe and Qe
  - "Volume" = Qe
  - "Price" - Pe
  - "Total Revenue/Consumer Expenditure" = Pe x Qe

- Step 2: Identify the factors that affect Demand or Supply, using EGYPT and WETPIGS
  - Supply Factors: (W) Weather Conditions (E) Expectations of Future Prices (T) Technology (P) Price of related goods - Joint Supply and Competitive Supply (I) Input Prices (G) Government Policies - Indirect taxes/subsidies (S) Supply Shocks + Number of Sellers
  - *Demand factors: (E) Expectations of Future prices (G) Government Policies - Direct tax/Subsidy (Y) Income (P) Price of related goods - Price of substitutes and complements (T) Taste and Preferences*

- Step 3A: If there is a single shift
  - Supply Increase
    - (DIRECTION) Pe decrease Qe increase
    - (EXTENT) Remember to use alternating concepts, so we use the PED of the g o d
      - PED<1 Pe decrease more than proportionately, Qe increase less than proportionately
      - PED>1 Pe decrease less than proportionately, Qe increase more than proportionately
  - Supply Decrease
    - PED<1: Pe increase more than proportionately, Qe decrease less than proportionately
    - PED>1: Pe decrease less than proportionately, Qe decrease more than proportionately
  - Demand Increase
    - (DIRECTION) Pe increase Qe increase
    - (EXTENT) Remember to use alternating concepts! So we look at the PES of the good.
      - PES<1: Pe increase more than proportionately, Qe increase less than proportionately.
      - PES>1: Pe increase less than proportionately, Qe increase more than proportionately
  - Demand Decrease
    - PED<1: Pe decrease more than proportionately, Qe decrease less than proportionately
    - PED>1: Pe decrease less than proportionately, Qe decrease more than proportionately

- Step 3B: if there is a double shift, look at whether demand or supply shifts more! Do not look at the elasticities until you have determined whether DD or SS shifts more. Use the number of factors OR logic to determine with contextual evidence which one shifts more
  - If Supply shifts more than Demand, use **PED**
    - If SS Increase:
      - PED<1: Pe decrease more than proportionately, Qe increase less than proportionately
      - PED>1 Pe decrease less than proportionately, Qe increase more than proportionately
    - If SS decrease
      - PED<1: Pe increase more than proportionately, Qe decrease less than proportionately
      - PED>1: Pe decrease less than proportionately, Qe decrease more than proportionately
  - If demand shifts more than Supply, use **PES**
    - If DD increase
      - PED<1: Pe increase more than proportionately, Qe increase less than proportionately
      - PED> 1: Pe increase less than proportionately, Qe increase more than proportionately
    - If DD decrease
      - PED<1: Pe decrease more than proportionately, Qe decrease less than proportionately
      - PED>1: Pe decrease less than proportionately, Qe decrease more than proportionately

- Step 4: Evaluation/Comment (Optional)Remember: this is where you bash your own analysis, and say why your primary analysis might be wrong
  - Inaccuracy of elasticity values
  - Ceteris Paribus Assumption